

September 18, 2026 05:00 AM GMT

US Economics Weekly | North America

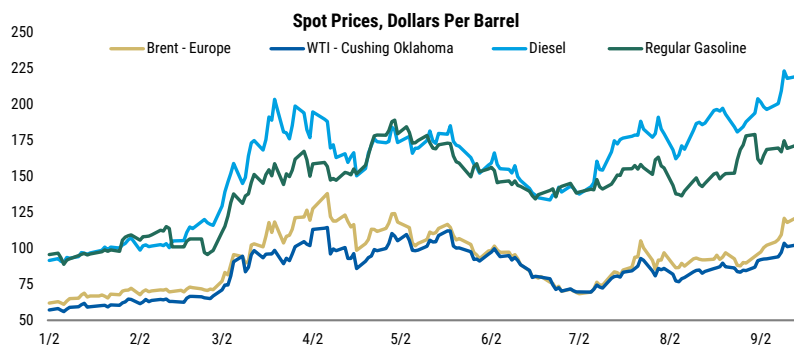
Goodbye disinflation, hello oil risk premium

We now expect two more hikes from the Fed, and our commodity analysts see energy markets facing a convergence of supply chain disruptions. A higher expected path for oil prices means disinflation will be slower, and more restrictive policy also weighs on growth in 2027.

Key Takeaways

- Persistently higher oil prices likely mean second-round effects on inflation. We now expect core PCE inflation to end 2026 at 3.2% (4Q/4Q) and 2027 at 2.7%.
- Inflation weighs on purchasing power and rates add more pressure. Wealth supports the high end. We expect '27 real consumption at 1.8% (4Q/4Q) vs 2.1% before.
- The recovery in non-AI related business investment is delayed; we revise lower nonresidential fixed investment growth to 7.1% in '27.
- The economy is still resilient. We expect '27 real GDP at 2.3% vs. 2.6% before. We trim '27 payroll growth to 50k/month, bringing the unemployment rate to 4.3%.
- We expect two more 25bp hikes from the Fed in December and March, to a target range of 4.25-4.50%.. They hold there through the end of next year, in our forecast.

Exhibit 1: Energy prices have moved higher in recent months, shifting our outlook into an oil risk-premium baseline



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

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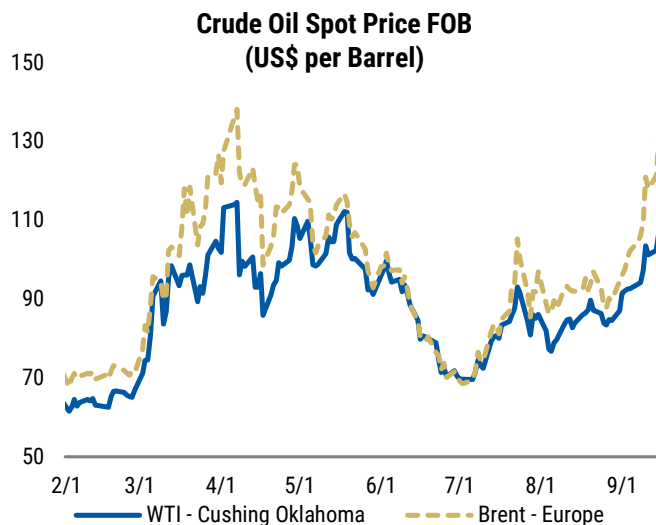
Goodbye disinflation, hello oil risk premium

We make several changes to our outlook for the US economy this week. First, we revise modestly higher our inflation forecast through the end of 2027 on account of recent trends and persistently higher energy prices. Inflation is stickier: it still decelerates, but more slowly than before. Second, we nudge lower our outlook for growth in 2027 and marginally soften our outlook for the labor market. Stickier inflation and tighter financial conditions mean less broadening out of the expansion. Third, we pencil in two additional 25bp rate hikes from the Fed in December and March, bringing the target range for the federal funds rate to 4.25-4.50%, which we expect to remain in place through the end of next year. These changes shift us away from our previous disinflation outlook into an "oil risk premium" baseline. We adjust the probabilities of our alternative scenarios accordingly (see [Exhibit 31](#) for more on the alternative scenarios).

Moving away from benign de-escalation

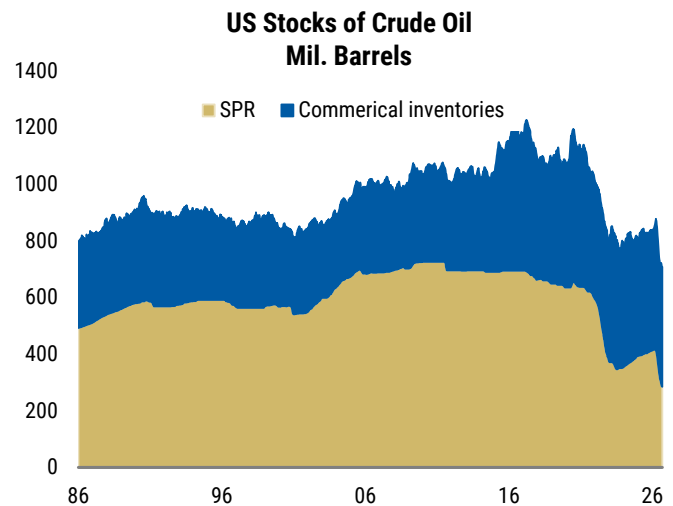
Our mid-year update to our outlook for the US economy assumed a benign de-escalation scenario in the Middle East conflict. Along with payback from tariffs and other forces, a resumption of lower oil prices would help inflation decelerate, broaden the expansion, and keep the Fed on the sidelines. Our commodity analysts see global energy markets as facing an unusual convergence of supply chain disruptions, from constrained Middle East export routes and pipeline outages to bottlenecks in major shipping corridors. At the same time, tight tanker capacity, refinery disruptions, and low European fuel inventories have pushed transportation costs and diesel margins to record highs. The energy market previously absorbed these shocks through strong US exports, weaker Chinese demand, and ample inventories, but those buffers are now seen as fading, leaving oil prices increasingly vulnerable to further geopolitical disruptions (see [Everything Everywhere All at Once](#)). If so, then we are hard-pressed to see a resolution to energy price pressures anytime soon and incorporate features of a higher oil risk-premium into the baseline.

Exhibit 2: Crude oil prices have shot up in recent weeks on a series of factors...



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 3: ...including diminishing inventory levels in the US and abroad



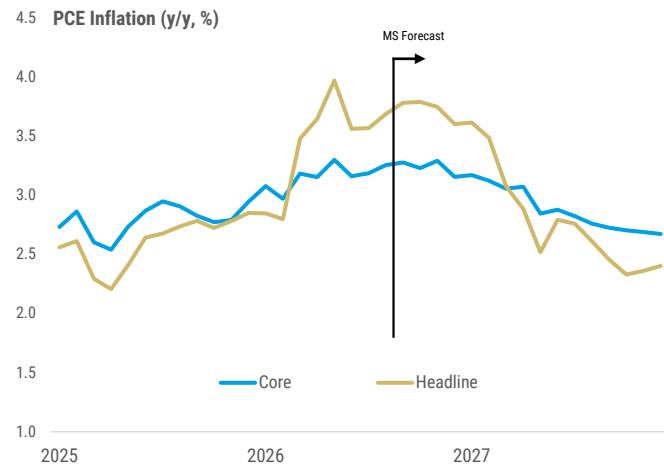
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Inflation is stickier, with slower convergence towards the 2% target

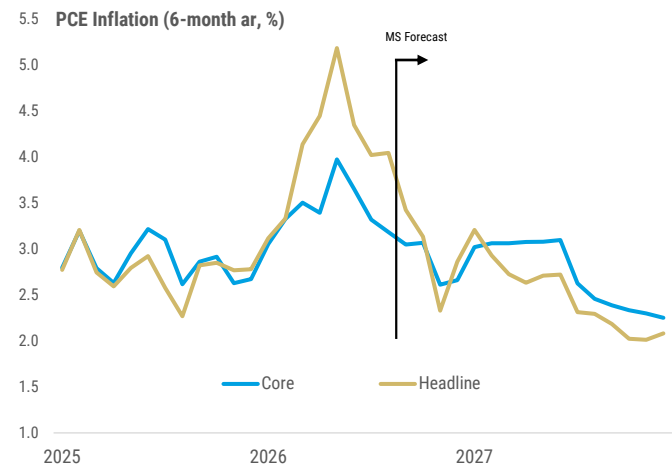
We revise higher our inflation forecast through the end of 2027. Following annual revisions, we now expect core PCE inflation to end 2026 at 3.2% 4Q/4Q (up from 3.1% previously) and 2027 at 2.7% 4Q/4Q (up from 2.4% previously). Headline PCE is now at 3.7% 4Q/4Q in 2026 and 2.4% in 2027. While inflation still slows over the forecast horizon, the path back to target is now more gradual.

A key reason for this revision is our updated assessment of energy prices. Our previous outlook assumed that airfares inflation would provide meaningful disinflation in the second half of 2026 as earlier increases in fuel costs unwound. With oil prices now expected to remain elevated for longer, that payback is unlikely to materialize. If anything, continued increases in refined products prices suggest airfares inflation could remain in positive territory. More broadly, the pass-through from higher energy prices into core inflation has so far remained relatively narrow. We think the limited transmission reflects the widespread expectation that energy price pressures would prove temporary and be resolved in the short run.

That perception is likely changing. Absent a resolution this year, firms may begin to treat higher transportation and input costs as more persistent. As a result, we expect broader pass-through into core prices to emerge over time, particularly in early 2027 when many firms typically implement annual price resets following the holiday season.

Exhibit 4: A gradual decent for core inflation on a y/y basis...

Source: BEA, Morgan Stanley Research forecasts.

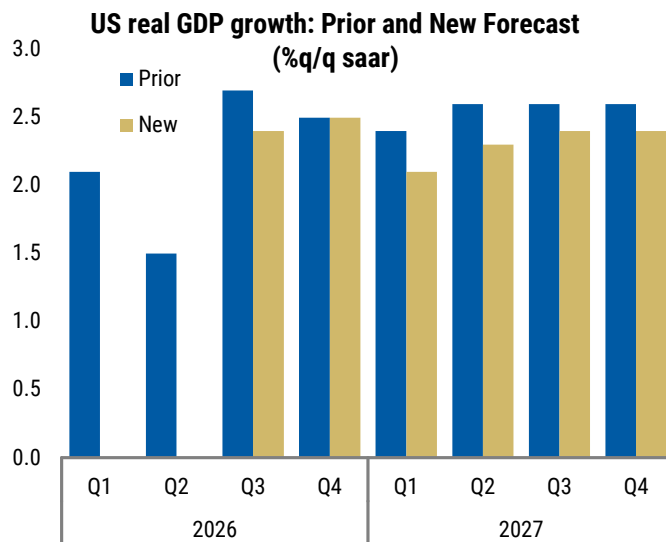
Exhibit 5: ...with clearer progress on a 6-month ar basis, but still above target in 2H27

Source: BEA, Morgan Stanley Research forecasts.

A resilient expansion, but still narrowly driven

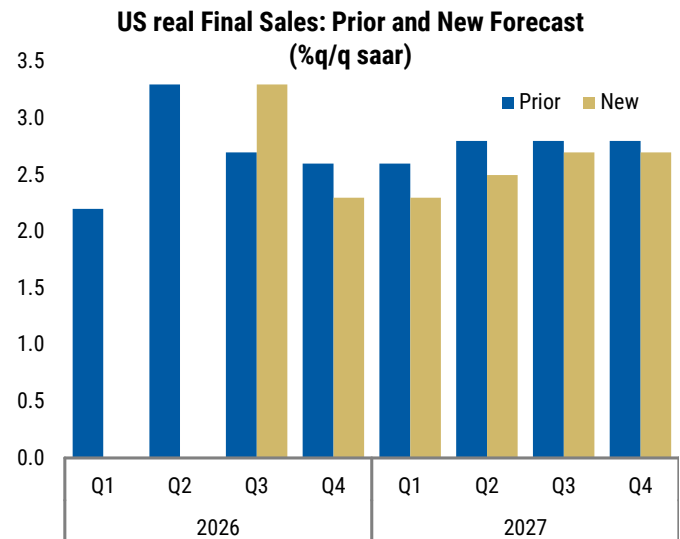
We have lowered our 2027 real GDP growth forecast to 2.3% from 2.6%, reflecting higher oil prices and a higher fed funds rate than previously assumed. These changes reduce household purchasing power and tighten financial conditions, leading us to trim our forecast for real consumer spending growth to 1.8% from 2.1%, with goods spending bearing the brunt of the slowdown given its greater sensitivity to energy prices and interest rates. We have also marked down business investment expectations, reducing our forecast for nonresidential fixed investment growth to 7.1% and assuming less inventory accumulation as slower demand tempers activity outside of AI-related spending, which remains exceptionally strong. Even so, final domestic demand remains solid: consumption continues to be supported by favorable wealth effects despite soft income growth, services spending remains resilient, and AI-driven equipment investment continues to boom. We have also revised our labor market outlook slightly lower, trimming expected payroll growth to 50k per month from 60k and raising the projected unemployment rate to 4.3% from 4.1%, but we continue to view labor market conditions as broadly resilient. Overall, our revisions point to slower GDP growth and a modestly softer labor market, but not a material weakening in underlying domestic demand.

Exhibit 6: Firmer inflation and tighter policy lead us to modestly trim our GDP forecast...



Source: BEA, Haver Analytics, Morgan Stanley Research

Exhibit 7: ...but the expansion remains resilient on solid growth in final sales to domestic purchasers



Source: BEA, Haver Analytics, Morgan Stanley Research

A Fed in motion, leading against the inflation tide

The Fed raised its policy rate by 25bp to 3.75-4.00% as expected at its September meeting, and we now expect an additional 50bp of tightening, with 25bp hikes in December and March that would take the terminal rate to 4.25-4.50%. We expect policy to remain at that level throughout 2027, with meaningful rate cuts deferred until inflation makes sufficient progress toward target. Our inflation outlook could potentially justify cuts as early as 4Q 27, but do not see it as clearing the bar for now.

Three aspects of the press conference at the September meeting reinforced our more hawkish outlook (see [here](#) for more detail). First, Chair Warsh characterized the latest move as part of the process of removing accommodation, suggesting monetary policy – and by extension, financial conditions – has not yet reached clearly restrictive territory. If so, there is more work to do. Second, he repeatedly highlighted geopolitical developments, particularly their impact on energy and commodity prices, as an important influence on inflation. Our view into the chair's reaction function remains incomplete, but it seems clear oil prices are part of the story and expectations for monetary policy are likely to remain connected to movements in energy prices. Third, FOMC participants revised up their estimate of the neutral rate to 3.25% from 3.06%, implying a higher threshold for policy restraint. Taken together, these developments support our view that further interest rate tightening is likely.

We do not read Warsh's actions to kick-start a tightening cycle as an effort to repudiate previous Fed policy. Instead, we see it as likely a more modest adjustment in the direction of where things were headed: a continuation and not a break. In other words, the task forces remain at work and Chair Warsh likely sees balance sheet reforms as a mechanism to reduce inflation. If so, then any interest rate tightening cycle should be modest. How Chair Warsh sees monetary policy as reducing inflation and what combination of tools

achieves the desired financial setting remains to be seen, and we will continue to devote our attention to exactly how the chair sees the Fed as achieving price stability.

Oil Tracker: Running Out of Buffers

The renewed pressure on energy prices has dragged the world into the seventh month of this prolonged energy price shock. Historically, episodes of acute geopolitical or physical supply disruption have mostly lasted 3–6 months, with the notable exception of the 1978–79 oil shock and its aftermath. As buffers such as higher U.S. exports, weaker Chinese imports, and ample inventories begin to fade, we update our oil tracker to highlight developments and trends that matter for U.S. economic growth.

The latest data suggest that crude oil inventories in the Strategic Petroleum Reserve (SPR) have fallen further, while both U.S. crude oil imports and exports have remained on an upward trend. Crude oil prices have continued to rise, while diesel margins have widened further.

Prices: higher crude spot prices, wider diesel margins

The latest spot prices, as of September 15, were \$107.02 per barrel for WTI in Cushing, Oklahoma, and \$130.80 per barrel for Brent in Europe. We convert diesel and gasoline prices to a per-barrel basis for a better comparison: diesel was at \$230.78 per barrel, while gasoline was at \$180.37 per barrel. The gap between gasoline and crude oil prices has remained broadly unchanged, whereas the gap between diesel and crude oil prices has continued to widen since early July.

We think this divergence is partially driven by refineries around the Strait of Hormuz reducing their demand for crude oil as disruptions constrain their ability to ship refined products out of the region. At the same time, these disruptions have reduced the effective supply of diesel to the global market, putting upward pressure on diesel prices relative to crude oil.

Quantities: Falling SPR stocks, stable net imports, rising production

As of September 15, U.S. commercial crude oil stocks, which represent the EIA's estimate of how many barrels of crude oil are physically held in U.S. storage at period-end, remained broadly unchanged from a week earlier. Meanwhile, crude oil stocks in the Strategic Petroleum Reserve (SPR) continued to fall to around 285 million barrels, the lowest level since April 1984.

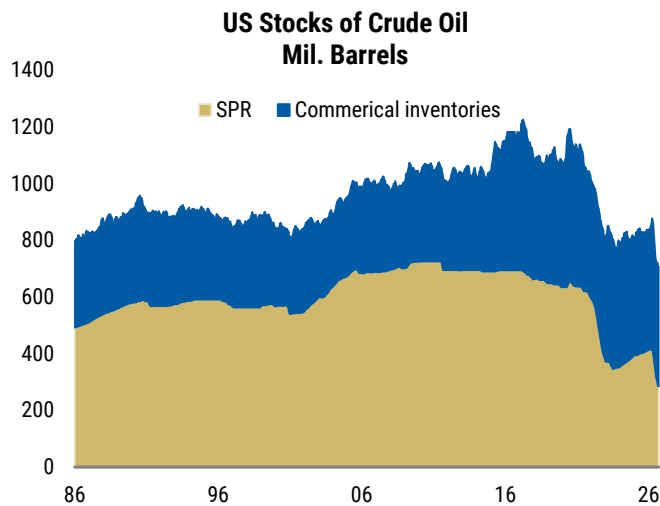
The Energy Department said the SPR's minimum inventory is determined by "cavern mechanics," which, when applied across the full system, translates to a conservative operational minimum of about 70 million barrels. If the SPR continues to decline at a pace of roughly 30 million barrels every four weeks, inventories would approach this operational minimum by March 2027. Using data on U.S. domestic crude oil production, net imports, and SPR drawdowns, we estimate monthly U.S. crude oil use at around 520 million barrels. A monthly SPR drawdown of 30 million barrels therefore accounts for only about 6% of U.S. crude oil use.

Both U.S. crude oil imports and exports have been on an upward trend since July, though they have risen at a similar pace, keeping net imports broadly unchanged. Canada remains the largest source of U.S. crude oil imports, highlighting the importance of maintaining stable trade relations with a key energy supplier. Imports from Venezuela have risen at an

average monthly rate of 14%, although the overall volume remains too small to have a meaningful impact so far. Imports from Saudi Arabia were minimal from May through August, reflecting constraints around the Strait of Hormuz, but appear to have improved moderately in September.

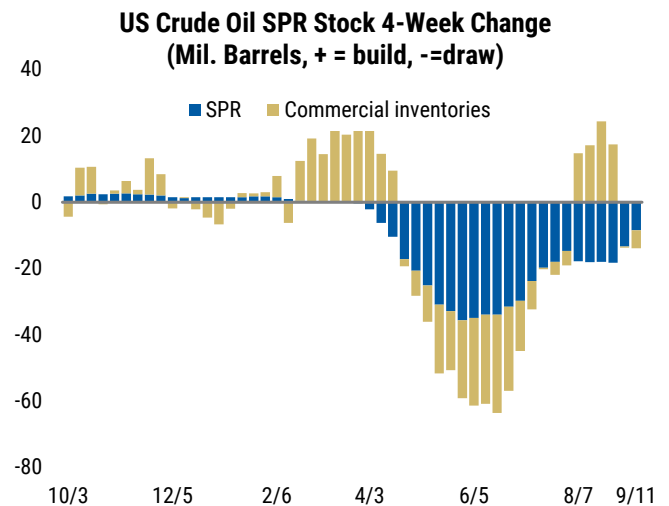
U.S. domestic crude oil production has also continued to rise, while U.S. refineries have increased their utilization, helping to support domestic supply amid ongoing disruptions.

Exhibit 8: SPR reached its lowest level since April 1984.



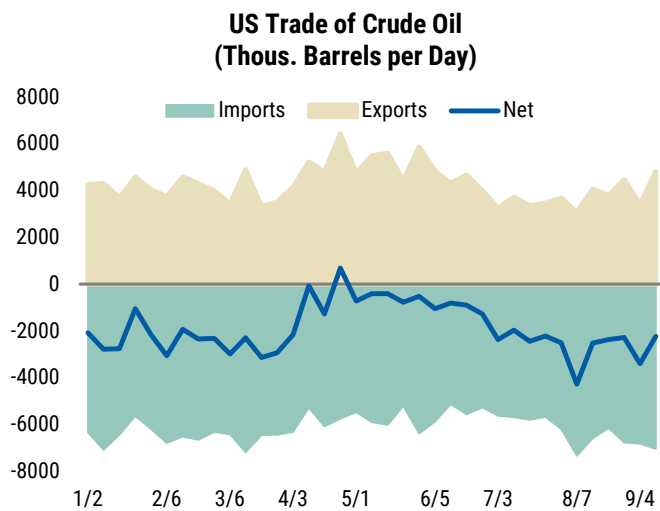
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 9: SPR drawdowns have slowed since June.



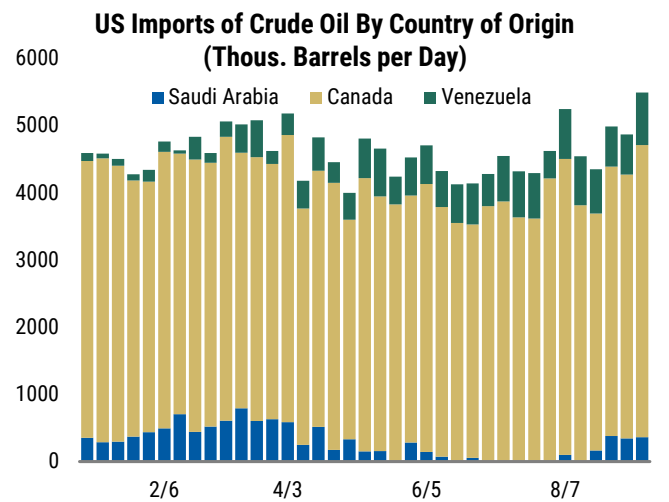
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 10: U.S. crude oil imports and exports have been on an upward trend since July



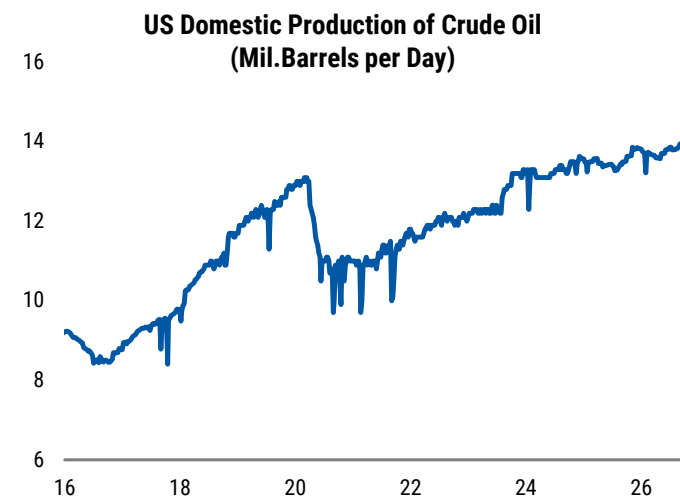
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 11: Canada remains the largest source of U.S. crude oil imports



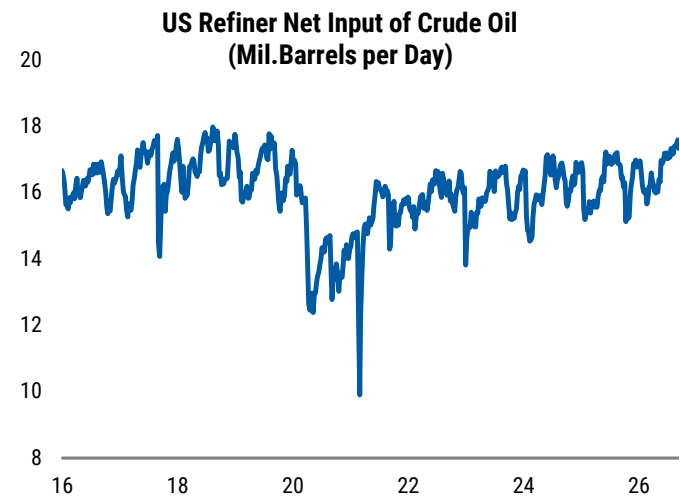
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 12: U.S. domestic crude oil production has also continued to rise



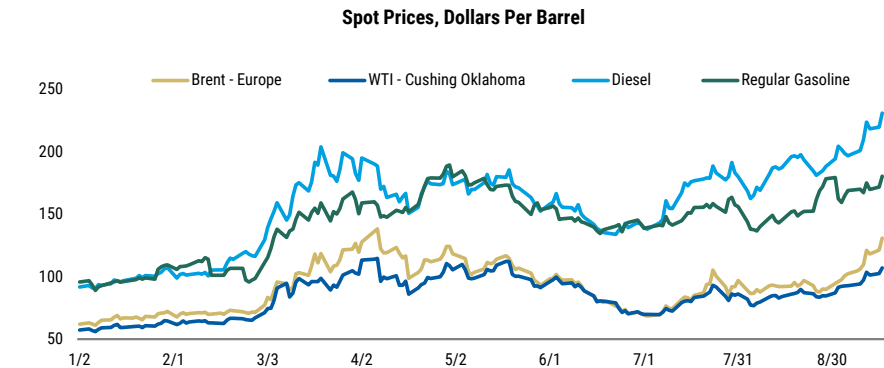
Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 13: U.S. refineries have increased their utilization



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

Exhibit 14: The gap between diesel and crude oil prices has continued to widen since early July.



Source: Energy Information Administration, Haver Analytics, Morgan Stanley Research

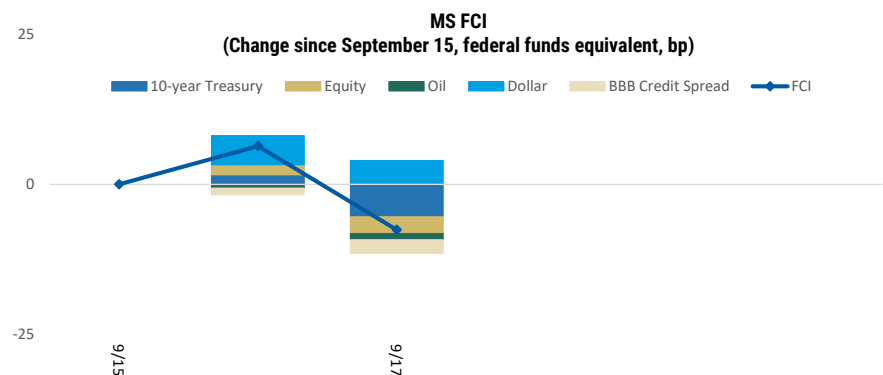
Financial conditions: Into a new hiking cycle

Following the 25bp rate hike in September and the shift into an "oil risk premium" baseline, we reset our financial conditions index to September 15 2026, the day prior to the September FOMC meeting, to track our FRB/US-based measure of financial conditions in this new hiking cycle. **As of the September 17 market close, financial conditions were slightly easier than they were before the September FOMC meeting.**

The index aims to capture how changes in asset prices weigh on future economic activity. It includes five daily variables: the 10-year Treasury yield, S&P 500 returns, the corporate BBB credit spread, the valuation of the U.S. dollar, and the price of oil. These are aggregated based on their estimated growth elasticities relative to the federal funds rate using the Federal Reserve's FRB/US model. As a result, the index can be interpreted as the equivalent change in the federal funds rate, expressed in basis points, required to generate a similar effect on economic activity.

Since the day before the September FOMC meeting, the easing in financial conditions has been equivalent to about an 8bp cut in the federal funds rate. Financial conditions initially tightened by 6bps on the day of the FOMC meeting, but eased by 14bps the following day, driven primarily by a lower 10-year Treasury yield and stronger equity returns. BBB spreads and oil prices also contributed slightly to the easing, whereas U.S. dollar appreciation offset some of the easing.

Exhibit 15: Financial conditions have eased slightly following the September rate hike



Source: Bloomberg, Morgan Stanley Research

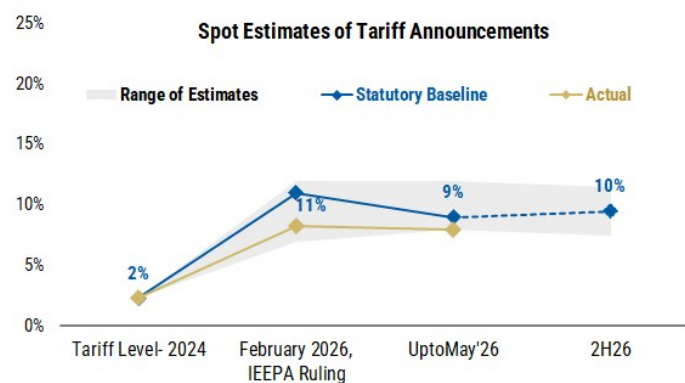
The effective tariff rate, tariff receipts, and refunds

Tariffs averaged 6.7% over May-July, and we expect that it will rise to near 10%

USTR's final forced-labor Section 301 action was broadly in line with our expectations.

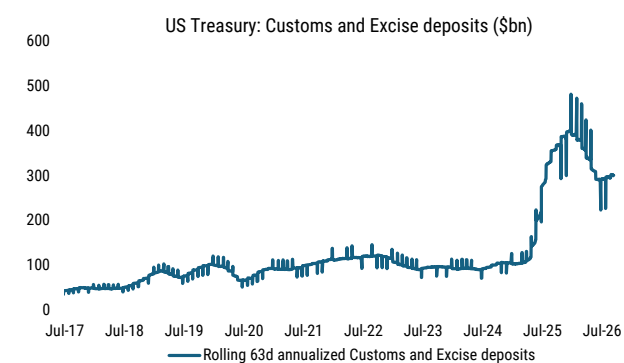
Effective July 24, the agency imposed additional tariffs on imports from 60 economies, setting a 10% duty on economies that have adopted, partially adopted, or committed to adopt a forced-labor import prohibition and a 12.5% duty on most others. The final action also preserves several key carve-outs, including goods already subject to Section 232 tariffs, USMCA-compliant imports, and a range of general and country-specific product exemptions. Overall, both the tariff structure and the principal exemptions closely resemble the proposal, reinforcing our expectation that Section 301 would serve as the broad country-level tariff floor. We continue to expect that the statutory effective tariff rate will converge toward ~10% by year-end. In the July 2026 data, the effective tariff rate is estimated at ~6.5%. Over the past three months of detailed trade data (May, June and July), the tariff rate has averaged 6.7%. There has been a recent escalation of trade disputes with Canada, and [section 338 tariffs have been applied on approximately \\$20bn of Canadian imports](#). However, for now, we do not expect this to meaningfully affect our year-end tariff estimates.

Exhibit 16: US effective tariff rate



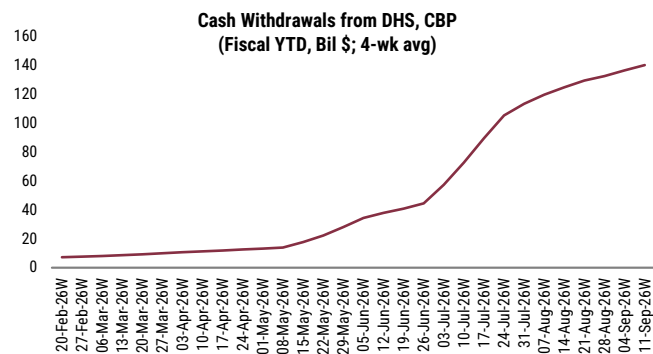
Source: US Census, US HTS, USITC, Morgan Stanley Research. The "Up to May '26" estimate is the average tariff rate on all imports over Jan - May 2026.

Exhibit 17: US Treasury: Customs and excise deposits from tariffs



Source: US Treasury, Bloomberg, Morgan Stanley Research

Exhibit 18: Cash withdrawals from the DHS - CBP, as a proxy for tariff refunds



Source: US Treasury, Haver Analytics, Morgan Stanley Research

Tariff refunds represent cash returned to importers when customs duties were previously overpaid or later determined to be refundable, for different reasons, including a tariff exclusion or court-ordered refund or a drawback claim tied to goods that are exported or destroyed. The process generally runs through CBP, where importers or brokers submit the relevant claim and supporting documentation; CBP then reviews eligibility, confirms the entry and status, and certifies approved refunds for payment. In Treasury cash-flow data, we monitor these payments at high frequency through CBP-related withdrawals in the Daily Treasury Statement. We interpret this as a tariff-refund proxy.

Data review & preview

Review of past week's data

Exhibit 22:

Monday 14 Sept	Data	Period	Forecast	Consensus	Prev	Actual
	No scheduled data or Fedspeak					
Tuesday 15 Sept	Data	Period	Forecast	Consensus	Prev	Actual
8:15 AM	ADP Weekly Employment Change	29-Aug			12.0	
8:30 AM	Empire Manufacturing	Sep		15.0	20.6	
Wednesday 16 Sept	Data	Period	Forecast	Consensus	Prev	Actual
7:00 AM	MBA Mortgage Applications	11-Sep			-2.7	
8:30 AM	New York Fed Services Business Activity	Sep		-2.1	0.5	
8:30 AM	Import Price Index m/m	Aug		0.5	-0.4	
8:30 AM	Export Price Index m/m	Aug		0.5	-1.3	
8:30 AM	Retail Sales Advance m/m	Aug	0.7	0.8	-0.6	
8:30 AM	Retail Sales Ex Auto m/m	Aug	0.5	0.5	-0.3	
8:30 AM	Retail Sales Control Group	Aug	0.6	0.5	-0.4	
10:00 AM	NAHB Housing Market Index	Sep		34.0	35.0	
10:00 AM	Business Inventories	Jul		0.8	0.0	
2:00 PM	FOMC Rate Decision (Upper Bound)	16-Sep		4.0	3.8	
4:00 PM	Total Net TIC Flows	Jul			133.5	
Thursday 17 Sept	Data	Period	Forecast	Consensus	Prev	Actual
8:30 AM	Philadelphia Fed Business Outlook	Sep		32.5	47	
8:30 AM	Initial Jobless Claims	12-Sep	200	207.0	206	
8:30 AM	Continuing Claims	5-Sep	1780	1779.5	1774	
8:30 AM	Housing Starts	Aug	1365	1319	1239	
8:30 AM	Housing Starts m/m	Aug	10.2	6.7	-12.4	
8:30 AM	Building Permits	Aug P	1425	1405	1433	
8:30 AM	Building Permits m/m	Aug P	-1.2	-1.5	4.3	
10:00 AM	Pending Home Sales m/m	Aug		0.0	-2.3	
4:30 PM	Fed balance sheet (H.4.1)					
Friday 18 Sept	Data	Period	Forecast	Consensus	Prev	Actual
9:15 AM	Industrial Production m/m	Aug	0.3	0.3	0.2	
9:15 AM	Manufacturing Production m/m	Aug	0.3	0.3	0.2	
9:15 AM	Capacity Utilization	Aug		76.4	76.3	
10:00 AM	Leading Index	Aug		0.1	0.2	
4:15 PM	Commercial bank balance sheets (H.8)					

Source: Bloomberg, Morgan Stanley Research forecasts

Preview of upcoming data

Exhibit 23: Monday

Monday 21 Sept	Data	Period	Forecast	Consensus	Prev
6:30 AM	Fed's Goolsbee Speaks About Monetary Policy				
8:30 AM	Chicago Fed Nat Activity Index	Aug		-0.1	-0.1

Source: Bloomberg, Morgan Stanley Research forecasts

Exhibit 24: Tuesday

Tuesday 22 Sept	Data	Period	Forecast	Consensus	Prev
8:15 AM	ADP Weekly Employment Change	5-Sep			
8:30 AM	Philadelphia Fed Non-Manufacturing Activity	Sep			-10.6
10:00 AM	Richmond Fed Manufact. Index	Sep			4.0
10:05 AM	Fed's Williams Gives Keynote Remarks				0.0

Source: Bloomberg, Morgan Stanley Research forecasts

Exhibit 25: Wednesday

Wednesday 23 Sept	Data	Period	Forecast	Consensus	Prev
7:00 AM	MBA Mortgage Applications	18-Sep			
9:45 AM	S&P US Manufacturing PMI	Sep P		53.6	53.9
9:45 AM	S&P US Services PMI	Sep P		56.0	56.5

Source: Bloomberg, Morgan Stanley Research forecasts

S&P manufacturing PMI. From the September regional manufacturing surveys released so far, we have seen resilient demand, continued growth in manufacturing labor demand, and longer delivery times. Both prices received and prices paid accelerated sharply, reflecting rising energy prices and increased inflationary pressures. We expect similar trends in the S&P manufacturing PMI. We are currently tracking the September ISM manufacturing PMI at 54.4, down slightly from 54.6 in August.

Exhibit 26: Thursday

Thursday 24 Sept	Data	Period	Forecast	Consensus	Prev
4:10 AM	Fed's Williams Speaks During Moderated Discussion				
8:30 AM	Current Account Balance	2Q	-245.0		-226.8
8:30 AM	Initial Jobless Claims	19-Sep	200		196
8:30 AM	Continuing Claims	12-Sep	1750		1730
8:50 AM	Fed's Hammack Delivers Opening Remarks at Inflation Conference				
10:00 AM	New Home Sales	Aug	660	615	607
10:00 AM	New Home Sales m/m	Aug	-1.5	1.3	-10.5
10:10 AM	Fed's Paulson Speaks At Fintech Conference				
11:00 AM	Kansas City Fed Manf. Activity	Sep			10.0
4:30 PM	Fed balance sheet (H.4.1)				

Source: Bloomberg, Morgan Stanley Research

Jobless claims. New and continuing claims have fallen in recent weeks, suggesting slower layoffs and faster re-employment. We project a slight rise in new claims, to a still-low level. New claims in NY, NJ, MI, and MO had particularly steep declines last week, to below trend levels, and we expect they partially reverse.

Current account deficit. A larger deficit in goods in 2Q widens the current account deficit.

New home sales. New home sales declined 10.5% m/m in July, a similar decline to that of single-family starts before yesterday's upward revision. We expect July new home sales to be revised up as well, to 670k in July. In August, starts rose while permits fell, and the UMich current conditions for buying houses fell further. We expect a slight m/m decline from that revised level, -1.5% m/m, to 660k.

Exhibit 27: Friday

Friday 25 Sept	Data	Period	Forecast	Consensus	Prev
5:15 AM	Fed's Williams Participates in Policy Panel				
8:30 AM	Durable Goods Orders	Aug P	0.0	-0.3	1.1
8:30 AM	Durables Ex Transportation	Aug P	0.6	0.5	0.4
8:30 AM	Cap Goods Orders Nondef Ex Air	Aug P	0.7	0.5	0.0
8:30 AM	Cap Goods Ship Nondef Ex Air	Aug P	0.7		1.2
10:00 AM	U. of Mich. Sentiment	Sep F		47.8	47.8
10:00 AM	U. of Mich. 5-10 Yr Inflation	Sep F			3.4
11:00 AM	Kansas City Fed Services Activity	Sep			-3.0
2:00 PM	Fed's Hammack Participates In Policy Panel Discussion				
4:15 PM	Commercial bank balance sheets (H.8)				

Source: Bloomberg, Morgan Stanley Research

Durable goods. Faster prices continue to push up nominal orders for capital goods and durable goods, and the pace appeared to be steady or re-accelerating in recent months. For August durables orders, we expect a drag from aircraft orders holds back the headline, but that orders ex transportation will show the effects of both the rise in prices and ongoing real increase.

Core capital goods and shipments also probably continue their rapid rise. Orders remain above shipments; and broadening in investment demand appears to be pushing orders higher.

University of Michigan. 5-year inflation expectations had been reversing their 2025 tariff runup until the start of the conflict in the Mid East. From tariff-related highs of 4.4% in April 2025, they fell to 3.2% at the end of last year. However, they rose in 2Q to average 3.6% and the preliminary reading for September was barely below that at 3.4%.

The overall consumer sentiment index fell about 4 points in the preliminary estimate for September to a level that, at 47.8, was barely below the all-time low of 44.8 reached in May.

Data calendar

Exhibit 28: September 21 - October 2

<i>Monday</i>	<i>TUESDAY</i>	<i>WEDNESDAY</i>	<i>THURSDAY</i>	<i>FRIDAY</i>
21 Fed's Goolsbee Speaks (6:30 AM) Chicago Fed Nat Activity Index (Aug, 8:30 AM)	22 ADP Weekly Employment Change (Wk of 9/5, 8:15 AM) Philadelphia Fed Non-Manufacturing Activity (Sep, 8:30 AM) Richmond Fed Manuf. Index (Sep, 10 AM) Fed's Williams Speaks (10:05 AM) Fed's Jefferson Speaks (10:20 AM) 2-Year Notes Auction (1 PM) Fed's Barkin Speaks (1 PM)	23 MBA Mortgage Applications (Wk of 9/18, 7 AM) S&P Flash Manuf. (Sep P, 9:45 AM) S&P Services PMI (Sep P, 9:45 AM) Fed's Barr Speaks (10:05 AM) 2-Year FRN Auction (11:30 AM) 5-Year Notes Auction (1 PM)	24 Fed's Williams Speaks (4:10 AM) Fed's Barkin Speaks (8 AM) Current Account Balance (2Q, 8:30 AM) Jobless Claims (Wk of 9/19, 8:30 AM) Fed's Hammack Speaks (8:50 AM) New Home Sales (Aug, 10 AM) Fed's Paulson Speaks (10:10 AM) Kansas City Fed Manf. Activity (Sep, 11 AM) 7-Year Notes Auction (1 PM) Treasury Buyback (Nom Cpn 20Y-30Y, max >=\$4 bil, 1:40 PM)	25 Fed's Williams Speaks (5:15 AM) Bloomberg Sept. United States Economic Survey (6 AM) Durable Orders (Aug P, 8:30 AM) U. of Mich. Consumer Sentiment (Sep F, 10 AM) Kansas City Fed Services Activity (Sep, 11 AM) Fed's Hammack Speaks (2 PM)
28 Dallas Fed Manf. Activity (Sep, 10:30 AM)	29 Home Prices (Jul, 9 AM) Conf. Board Consumer Confidence (Sep, 10 AM) JOLTS (Aug, 10 AM) Dallas Fed Services Activity (Sep, 10:30 AM) Fed's Goolsbee Speaks (1 PM) Treasury Buyback (TIPS 1Y-10Y, max \$750 mil, 1:40 PM)	30 MBA Mortgage Applications (Wk of 9/25, 7 AM) ADP Employment Change (Sep, 8:15 AM) Wholesale and Retail Inventories (Aug, 8:30 AM) Personal Income and Spending (Aug, 8:30 AM) PCE Prices (Aug, 8:30 AM) GDP (2Q T, 8:30 AM) Advance Goods Trade Balance (Aug, 8:30 AM) MNI Chicago PMI (Sep, 9:45 AM) Fed's Barkin Speaks (1:30 PM) Fed's Cook Speaks (3:25 PM)	1 Challenger Job Cuts (Sep, 5:30 AM) Jobless Claims (Wk of 9/26, 8:30 AM) Fed's Barkin, Speaks (9:05 AM) S&P Manufacturing PMI (Sep F, 9:45 AM) ISM Manufacturing (Sep, 10 AM) Construction Spending (Aug, 10 AM) Treasury Buyback (Nom Cpn 10Y-20Y, max >=\$4 bil, 1:40 PM) Fed's Logan Speaks (6:45 PM) Omdia Total Vehicle Sales (Sep)	2 Employment Report (Sep, 8:30 AM) Factory Orders (Aug, 10 AM) Durable Orders (Aug F, 10 AM)

Note: For updates post-publication of the Treasury Auction Schedule, see [here](#). Source: Bloomberg, Morgan Stanley Research

US economic outlook

Exhibit 29: Morgan Stanley forecasts

	4Q/4Q % change			Quarterly % change, annual rate (unless otherwise noted)							
	2025A	2026E	2027E	1Q26A	2Q26A	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E
Real GDP	2.0	2.1	2.3	2.1	1.5	2.5	2.5	2.1	2.3	2.4	2.4
Final Sales ¹	2.2	2.2	2.1	1.9	2.2	2.1	2.4	2.0	2.1	2.2	2.2
Final Domestic Demand²	1.8	2.8	2.5	2.2	3.3	3.3	2.3	2.3	2.5	2.7	2.7
Final Private Domestic Demand ³	2.4	3.0	2.7	1.7	4.2	3.7	2.5	2.4	2.7	2.8	2.8
Personal Consumption Expenditures	2.1	2.2	1.8	0.5	3.4	2.9	1.9	1.5	1.8	2.0	2.0
– Goods	1.4	2.1	1.1	0.5	4.3	2.8	1.0	0.5	1.0	1.3	1.3
– Services	2.4	2.2	2.2	0.5	3.1	3.0	2.3	1.9	2.2	2.3	2.3
Nonresidential Fixed Investment	5.6	8.4	7.1	10.6	8.5	8.7	5.9	7.1	7.1	7.1	7.2
– Structures	-5.5	-3.1	2.0	-4.7	-1.8	-3.0	-3.0	2.0	2.0	2.0	2.0
– Equipment	9.6	13.0	9.0	15.8	13.6	15.0	8.0	9.0	9.0	9.0	9.0
– IPP	8.0	9.6	7.5	13.8	8.8	8.0	8.0	7.5	7.5	7.5	7.5
Residential Investment	-3.8	-1.9	0.0	-7.8	1.3	-1.6	1.0	0.0	0.0	0.0	0.0
Exports	1.1	3.0	1.8	10.9	4.5	-6.0	2.5	1.8	1.8	1.8	1.8
Imports	-1.9	7.6	4.5	11.8	12.5	4.0	2.0	4.1	4.5	4.7	4.7
Government	-1.2	1.6	2.0	4.4	-1.0	1.4	1.4	2.0	2.0	2.0	2.0
Inventory contribution (pct pts, a.r.)	-0.2	0.0	0.2	0.2	-0.7	0.3	0.0	0.1	0.1	0.1	0.1
Trade contribution (pct pts, a.r.)	0.4	-0.7	-0.3	-0.4	-1.1	-1.3	0.0	-0.4	-0.5	-0.5	0.0
Employment & Personal Income											
Civilian Unemployment Rate (%)	4.5	4.2	4.3	4.3	4.3	4.1	4.2	4.3	4.3	4.3	4.3
Civilian Labor Force Participation Rate (%)	62.5	61.6	61.3	62.0	61.7	61.6	61.6	61.6	61.5	61.4	61.3
Employment to Population Ratio (%)	59.7	59.0	58.7	59.3	59.1	59.0	59.0	58.9	58.8	58.8	58.7
Average Monthly Change in Nonfarm Payrolls (Thous.)	10	70	50	73	81	81	45	50	50	50	50
Real DPI	1.0	0.6	1.2	0.9	-1.5	1.9	0.9	0.9	1.0	1.1	1.8
Saving rate (%)	3.8	2.3	1.8	3.9	2.8	2.5	2.3	2.2	2.0	1.8	1.8
Business Indicators											
Industrial Production	1.5	2.1	2.0	1.3	4.1	1.7	1.1	1.8	2.0	2.1	2.1
Productivity	2.5	1.3	1.8	0.8	0.6	1.7	1.9	1.5	1.8	1.9	1.9
Inflation (quarterly % change, a.r.)											
Consumer Price Index				3.6	6.1	1.5	3.4	2.0	2.1	1.9	1.8
CPI ex Food & Energy				2.8	2.9	2.2	2.7	2.9	2.3	2.3	2.2
PCE Price Index				4.2	5.1	2.6	3.0	3.0	2.4	2.1	2.0
PCE ex Food & Energy				4.0	3.3	3.0	2.5	3.6	2.6	2.4	2.2
Inflation (4-quarter % change)											
Consumer Price Index	2.7	3.6	1.9	2.7	3.8	3.4	3.6	3.2	2.2	2.3	1.9
CPI ex Food & Energy	2.7	2.6	2.4	2.5	2.7	2.5	2.6	2.7	2.5	2.6	2.4
PCE Price Index	2.8	3.7	2.4	3.0	3.7	3.7	3.7	3.4	2.7	2.6	2.4
PCE ex Food & Energy	2.8	3.2	2.7	3.0	3.2	3.2	3.2	3.1	2.9	2.8	2.7
Monetary Policy											
Fed Funds Target (% ,midpoint of target range)	3.625	4.125	4.375	3.625	3.625	3.875	4.125	4.375	4.375	4.375	4.375

1) GDP less contribution from inventory investment

2) GDP less contributions from inventory investment and trade

3) GDP less contributions from inventory investment, trade, and the government sector. (Private final consumption plus investment.)

Source: Bureau of Economic Analysis, Bureau of Labor Statistics, Federal Reserve, Census Bureau, Treasury Dep't, Morgan Stanley Research forecasts

Exhibit 30: Monthly inflation forecasts

	% Change - Year-over-Year				% Change - Month-over-Month				Headline CPI NSA Index
	Headline PCE	Core PCE	Headline CPI	Core CPI	Headline PCE	Core PCE	Headline CPI	Core CPI	
Jan-25	2.6	2.7	3.0	3.3	Jan-25	0.32	0.28	0.43	317.671
Feb-25	2.6	2.9	2.8	3.1	Feb-25	0.38	0.42	0.23	319.082
Mar-25	2.3	2.6	2.4	2.8	Mar-25	0.00	0.08	0.03	319.799
Apr-25	2.2	2.5	2.3	2.8	Apr-25	0.19	0.22	0.16	320.795
May-25	2.4	2.7	2.4	2.8	May-25	0.22	0.27	0.10	321.465
Jun-25	2.6	2.9	2.7	2.9	Jun-25	0.32	0.31	0.25	322.561
Jul-25	2.7	2.9	2.7	3.1	Jul-25	0.16	0.23	0.23	323.048
Aug-25	2.7	2.9	2.9	3.1	Aug-25	0.22	0.18	0.35	323.976
Sep-25	2.8	2.8	3.0	3.0	Sep-25	0.27	0.20	0.30	324.800
Oct-25	2.7	2.8	2.9	2.8	Oct-25	0.21	0.24	0.13	#N/A
Nov-25	2.8	2.8	2.7	2.6	Nov-25	0.18	0.14	0.13	324.122
Dec-25	2.9	2.9	2.7	2.6	Dec-25	0.33	0.33	0.30	324.054
Jan-26	2.8	3.1	2.4	2.5	Jan-26	0.32	0.41	0.17	325.252
Feb-26	2.8	3.0	2.4	2.5	Feb-26	0.33	0.32	0.27	326.785
Mar-26	3.5	3.2	3.3	2.6	Mar-26	0.66	0.29	0.87	330.213
Apr-26	3.6	3.2	3.8	2.7	Apr-26	0.36	0.19	0.64	333.020
May-26	4.0	3.3	4.2	2.8	May-26	0.54	0.42	0.47	335.123
Jun-26	3.6	3.2	3.5	2.6	Jun-26	-0.07	0.17	-0.42	333.952
Jul-26	3.6	3.2	3.3	2.5	Jul-26	0.16	0.25	0.07	333.918
Aug-26	3.7	3.3	3.4	2.4	Aug-26	0.34	0.25	0.40	334.980
Sep-26	3.8	3.3	3.6	2.5	Sep-26	0.36	0.22	0.50	336.502
Oct-26	3.8	3.2	3.7	2.6	Oct-26	0.22	0.20	0.24	336.766
Nov-26	3.7	3.3	3.7	2.7	Nov-26	0.14	0.19	0.10	336.103
Dec-26	3.6	3.2	3.5	2.6	Dec-26	0.19	0.19	0.20	335.697
Jan-27	3.6	3.2	3.5	2.7	Jan-27	0.33	0.43	0.16	336.900
Feb-27	3.5	3.1	3.4	2.7	Feb-27	0.20	0.27	0.10	337.920
Mar-27	3.1	3.1	2.8	2.7	Mar-27	0.27	0.22	0.28	339.489
Apr-27	2.9	3.1	2.2	2.5	Apr-27	0.17	0.21	0.12	340.614
May-27	2.5	2.8	1.9	2.4	May-27	0.18	0.20	0.16	341.684
Jun-27	2.8	2.9	2.5	2.7	Jun-27	0.20	0.20	0.19	342.599
Jul-27	2.8	2.8	2.5	2.6	Jul-27	0.13	0.20	0.07	342.548
Aug-27	2.6	2.8	2.3	2.5	Aug-27	0.20	0.19	0.20	342.974
Sep-27	2.5	2.7	2.1	2.5	Sep-27	0.21	0.19	0.24	343.645
Oct-27	2.3	2.7	1.8	2.5	Oct-27	0.09	0.18	0.01	343.136
Nov-27	2.4	2.7	1.9	2.4	Nov-27	0.17	0.18	0.17	342.684
Dec-27	2.4	2.7	2.0	2.4	Dec-27	0.23	0.18	0.28	342.553

Source: BLS, BEA, Morgan Stanley Research forecasts. PCE numbers include the impact of PCE historical revisions.

US Outlook Scenarios

Exhibit 31: Morgan Stanley US Economics baseline and alternative outlooks for the US Economy: 2026, and 2027

	Aggregate Demand Shock: Animal Spirits (30%)	Rapid Disinflation (10%)	Baseline: Oil Risk Premium/Sticky Inflation (45%)	AI Productivity Boost with Labor Displacement (5%)	Recession (10%)
Key Forecasts					
GDP growth	Elevated wealth supports consumption and "animal spirits" keep business spending elevated. GDP grows 3.0% in 2027, 0.5-1.0pp faster than the baseline.	High oil prices act as a tax on consumption near-term, though with slightly more rebound in mid-to-late 2027. Real growth rises to 2.6% (4Q/4Q) in 2027.	Oil prices remaining near \$100/bbl in 4Q and 1Q weigh on growth near-term. Real GDP rises 2.3% in 2027 (4Q/4Q), though private final domestic demand decelerates slightly vs 2026.	GDP growth is steady, rising 2.0% in 2027. Strong business spending is offset somewhat by weaker labor markets and low consumer confidence. Despite softer inflation in 2027, consumer spending stays sluggish as labor displacement mounts.	Oil prices rise to \$140-160/bbl. Supply shortages ensue, and demand destruction occurs. The result: mild recession with two quarters of negative GDP growth in mid-2027. Real GDP rises only 0.1% in 2027 (4Q/4Q).
Labor markets	Stronger demand results in tighter labor markets. The unemployment rate falls to 3.9% in 2026 and 3.5% in 2027.	Average monthly payroll gains are slightly stronger vs the baseline, around 60k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2027 unchanged vs 2026, around 4.2%.	The "curious balance" continues. Average monthly payroll gains average around 50k next year. Labor demand remains soft on geopolitical uncertainty. Less immigration means a lower breakeven rate of hiring. The unemployment rate finishes 2026 at 4.3% and 2027, a tenth higher vs 2026.	The economy experiences a prolonged period of net zero job creation. The separation rate edges higher, but widespread layoffs are avoided. The unemployment rate creeps higher, rising to 4.8% in 2027, 0.5pp above our baseline outlook.	Payrolls fall an average of 30k per month beginning in 2027. The unemployment rate rises to 5.5% next year.
Inflation	Inflation pressures step-up due to demand-side pressures. Headline inflation is 3.8% in 2026 and 2.8% in 2027. Core PCE inflation firms through Q1 27, prompting Fed hikes, which subsequently slow inflation.	High inflation in 2026 dissipates in 2027. Energy prices push headline PCE inflation to 3.4% 4Q/4Q in 2026. Headline and core PCE decelerate to 2.0% and 2.3% 4Q/4Q in 2027 as the oil shock fades. Energy is a headline story with no important second-round effects on core.	Two more years of above-target inflation. Energy prices push headline PCE inflation to 3.7% 4Q/4Q in 2026, while core accelerates to 3.2% on tariff push, the AI demand push, and second round effects from the oil shock. Headline and core PCE decelerate to 2.4% and 2.7% 4Q/4Q in 2027 as the inflationary effect of the oil shock fades.	Inflation rises on account of higher energy prices, but weak labor markets and slow wage growth provide offset. Headline inflation already peaked at 3.7% y/y in 2Q 2026 and finishes the year at 3.6%. Productivity gains speed up the disinflation process. Inflation falls back to the 2.0% target in 2027.	Headline inflation surges to 5.1% y/y in 4Q 2026. On weaker demand, inflation decelerates to 1.1% in 2027.
Federal reserve policy	Hikes to counter inflation. The Fed raises rates by 150bp in total to 5.00-5.25%, more than reversing the 75bp in pre-emptive cuts to support the labor market in 2025.	The Fed hikes once more in December, but with oil pressures abating, disinflation is faster and the Fed does not need to tighten further. They cut twice in 2H27, to a terminal rate of 3.5-3.75%.	Inflation remains sticky, leading to two more 25bp hikes in Dec 2026 and Mar 2027. The Fed then pauses there at 4.25%-4.5% for the remainder of 2027.	Labor displacement leads to cuts next year. The Fed hikes in Dec and March, but the rising unemployment rate leads the Fed to cut by 75bp in 2H27, to a terminal rate of 3.5-3.75%.	The Fed hikes in December and March as oil prices rise, but then shifts to cuts as downside risks to growth mount. They cut by 200bp beginning in mid-2027 to a terminal of 2.25-2.5%. No QE.
Key Forecasts					
Consumer spending	Better than expected equity market returns and a rebound in labor markets boost consumption to around 3.0% in 2027. Upper-income consumers drive much of the spending, but nominal wage growth supports low- and middle-income spending.	Faster disinflation results in more of a rebound in real income, while policy is less of a constraint than in the base case. By mid-2027, we start to see some broadening out. Real consumption growth is similar in 2027 as 2026, around 2.1%.	Consumption has been resilient through the oil shock. Still soft real income growth and tighter policy continue to weigh on spending, especially for low- and middle-income consumers. Wealth is an offset, supporting the high-end. Consumption slows modestly to 1.8% in 2027.	Consumption slows further to 1.0-1.5% in 2027. In addition to near-term high gas prices, soft labor market conditions and fears of AI displacement make consumers turn cautious in 2027 despite improving real spending power from decelerating inflation.	Consumption falls for most of 2027, before a gradual reacceleration. Households cut back on durable goods spending. Negative wealth effects lead upper-income consumers to pull back, with spillover into broader spending.
Nonresidential fixed investment	Business spending broadens out beyond AI, due to animal spirits and fiscal support.	Similar to the baseline. AI-related spending remains robust, while AI adoption rates rise and firms realize productivity gains. Broadening out in non-AI sectors continue, perhaps at a slower pace.	AI-related spending remains robust, leading nonresidential fixed investment to moderate only modestly to 7.1% in 2027. AI adoption rates rise and firms realize productivity gains.	AI-related spending remains robust, leading nonresidential fixed investment to moderate only modestly to 7.1% 2027. AI adoption rates rise more than the baseline and firms realize higher productivity gains.	A retrenching business sector cuts employment and capex. Investment declines throughout 2H and into Q1 2027, followed by recovery.
Residential investment	Stronger growth is balanced by higher rates. Housing activity remains subdued.	Housing remains "stuck", but activity picks up slightly versus the base case on stronger real income growth and less restrictive policy. Residential investment grows modestly in 2027.	Housing remains "stuck" due to low affordability and limited inventory, which higher rates only reinforce. Residential investment is flat in 2027 after declining in 2026.	Housing activity remains sluggish in both 2026 and 2027, despite lower interest rates. Improved affordability is offset by softening labor market conditions.	Housing activity is weak on the back of slower growth and weak labor markets. Activity begins to pick up towards the end of 2027 as growth recovers and low rates spur demand.
Net trade	Imports are strong with strong demand, resulting in a larger drag on GDP and a wider trade deficit.	Imports are strong with somewhat stronger demand than the baseline, thus a larger drag on GDP. Imports rise 5.0% in 2027. Exports rise 1.8%. Net trade subtracts 0.4pp from growth in 2027.	Imports rise 4.5% in 2027 after strong 7.6% growth in 2026. Exports rise 1.8% in 2027 after 3.0% in 2026. Net trade subtracts 0.3pp from growth next year.	Relative to the baseline, imports are softer. AI-related imports are robust, but imports of consumer goods are more muted on the back of softer household spending. Net trade subtracts 0.2pp from growth next year 2027.	Imports and exports both fall over the next few quarters as demand falls and slow global growth limits export demand. Net trade contributes positively to growth in 2026.
Fiscal policy	Fiscal multipliers are higher than in the baseline, resulting in higher contribution to growth. With stronger growth, fiscal deficits decline.	The fiscal impulse in the OBBBA is neutralized by higher gasoline prices. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.0% of GDP.	Higher gas prices more than offset the growth effects of the OBBBA. The midterm elections bring divided government, leading to budget gridlock and large deficits at about 6.3% of GDP.	Similar to the baseline. A softer labor market means slightly less revenue growth and more automatic stabilizers. The deficit is 6.3% of GDP in 2026 and 2027.	Deficits rise further as tax receipts decelerate and automatic stabilizers boost transfer payments. Defense spending picks up. The deficit as a percent of GDP is 6.9% in 2026 and 6.7% in 2027
Credit conditions	Credit conditions loosen somewhat on the heels of stronger growth and animal spirits. Bank lending accelerates.	Geopolitical uncertainty combined with consumer resilience mean conditions are steady over the forecast horizon.	Geopolitical uncertainty combined with consumer resilience mean conditions are steady over the forecast horizon.	Credit conditions bifurcate, with willingness to lend to consumers worsening amid solid growth in C&I lending.	Credit conditions tighten further as the economy contracts. By late next year, the Fed has eased policy enough to encourage some new credit supply but demand remains weak.
Productivity growth	Similar productivity growth as the baseline, even with stronger employment growth.	Productivity rises faster than in the baseline in 2027. Productivity gains are from higher output, not less employment.	Productivity rises 1.8% in 2027, with a modest boost from AI.	Higher productivity growth than the baseline, which brings greater labor displacement.	With rapid declines in output, productivity falls over the next few quarters. Productivity then begins to recover in 2027.
Consumer and business confidence	Confidence rebounds across the course of the year, and further in 2027.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Confidence of households and business remains near 2022-2023 lows on account of low labor demand, high inflation, and elevated uncertainty.	Labor displacement pushes consumer confidence down further, testing new lows. Business optimism remains elevated.	Recession pushes confidence down further, testing new lows.

Source: Morgan Stanley Research forecasts

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